

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 4478

By: Deck and **Waldron**

7
8 COMMITTEE SUBSTITUTE

9 An Act relating to schools; amending 70 O.S. 2021,
10 Section 5-129, which relates to the school activity
11 fund; removing requirement to deposit certain funds
12 by end of the next business day; eliminating
13 reference to deposits for less than one hundred
14 dollars; requiring deposit when funds reach five
15 hundred dollars; requiring certain funds to be
16 deposited at least once per business week; and
17 providing an effective date.

18
19
20
21
22
23
24
BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 70 O.S. 2021, Section 5-129, is
amended to read as follows:

Section 5-129. A. The board of education of each school
district shall exercise control over all funds and revenues on hand
or hereafter received or collected, as herein provided, from student
or other extracurricular activities or other revenue-generating
sources listed in subsection B of this section that are conducted in
the school district. Such funds shall be deposited to the credit of

1 the account maintained for the benefit of the particular activity
2 within the school activity fund. Deposits of funds subject to the
3 requirements of this section shall be made ~~by the end of the next~~
4 ~~business day; however, if the deposit for a day totals less than One~~
5 ~~Hundred Dollars (\$100.00), a school district may accumulate monies~~
6 ~~required to be deposited into the fund on a daily basis until when~~
7 the total accumulated balance of deposits equals or exceeds ~~One~~
8 ~~Hundred Dollars (\$100.00)~~ Five Hundred Dollars (\$500.00). Provided,
9 a school district shall deposit accumulated monies into the fund not
10 less than one (1) time per business week, regardless of whether the
11 monies total ~~One Hundred Dollars (\$100.00)~~ Five Hundred Dollars
12 (\$500.00). Disbursements from each of the activity accounts shall
13 be by check countersigned by the school activity fund custodian and
14 shall not be used for any purpose other than that for which the
15 account was originally created. The board of education, at the
16 beginning of each fiscal year and as needed during each fiscal year,
17 shall approve all school activity fund subaccounts, all subaccount
18 fund-raising activities and all purposes for which the monies
19 collected in each subaccount can be expended. Provided, the board
20 of education may direct by written resolution that any balance in
21 excess of the amount needed to fulfill the function or purpose for
22 which an account was established may be transferred to another
23 account by the custodian.

1 B. The board of education of each school district may designate
2 that any of the following revenue be deposited for the use of
3 specific school activity accounts, or to a general activity fund
4 within the school activity fund:

5 1. Admissions to athletic contests, school or class plays,
6 carnivals, parties, dances and promenades;

7 2. Sale of student activity tickets;

8 3. Concession sales, including funds received from vending
9 concession contracts and school picture contracts approved by the
10 district board of education, and cafeteria or luncheon collections;

11 4. Dues, fees and donations to student clubs or other
12 organizations, provided that membership in such clubs or
13 organizations shall not be mandatory;

14 5. Income or revenue resulting from the operation of student
15 organizations or club projects, provided, such revenue is not
16 derived from the lease, rental or sale of property, supplies,
17 products or other assets belonging to the school district. When
18 approved by the board of education, student organizations or club
19 projects may include fund-raising activities, the revenues from
20 which may be used for the purpose of purchasing goods or services
21 otherwise considered to be general fund expenditures;

22 6. Deposits for or collections for the purchase of class
23 pictures, rings, pins, announcements, calling cards, annuals,
24 banquets, student insurance and other such personal items; provided

1 the cost of such items shall not be charged against other school
2 funds; and

3 7. Other income collected for use by school personnel and other
4 school-related adult functions.

5 C. The board of education of each district may establish petty
6 cash accounts to be used only for the purpose of making small cash
7 expenditures, such as postage, freight or express charges; provided,
8 no single expenditure from a petty cash account shall be made in
9 excess of Seventy-five Dollars (\$75.00), and the total expenditures
10 during any one (1) fiscal year shall not exceed Two Thousand Five
11 Hundred Dollars (\$2,500.00) per school building. The school
12 activity fund custodian shall initiate petty cash accounts by filing
13 a claim against the general fund of the school district for the
14 authorized amount of each petty cash account which shall not exceed
15 Two Hundred Dollars (\$200.00) per school building. The general fund
16 warrants issued in payment of said claim shall be deposited in a
17 "Petty Cash Account" in the school activity fund.

18 All disbursements from the petty cash accounts shall be made in
19 the same manner as other disbursements from the school activity
20 fund, except no disbursement shall be made from a petty cash account
21 unless a prenumbered, dated receipt be obtained and signed by the
22 person receiving payment. A school board may designate a petty cash
23 custodian to countersign petty cash checks in place of the activity
24 fund custodian. The school activity fund custodian shall file

1 claims against the general fund of the school district for
2 reimbursement of a petty cash account whenever the need shall arise.
3 Such claims shall be itemized in the same manner as other claims
4 filed against the general fund and shall have attached thereto the
5 receipts covering each of the expenditures claimed for
6 reimbursement. The total of a petty cash account balance and the
7 receipts on hand awaiting reimbursement should equal at all times
8 the authorized amount of a petty cash account.

9 None of the provisions pertaining to a petty cash account shall
10 be construed to authorize the use of one (1) fiscal year's fund to
11 pay obligations of another fiscal year. Any remaining balance in
12 each petty cash account shall be transferred to the general fund on
13 or before June 30 of each year.

14 D. The State Board of Education shall adopt appropriate rules
15 and regulations and design standard forms for the proper conduct of
16 the various school activity accounts.

17 E. The school activity fund custodian and the petty cash
18 custodian shall be appointed by the board of education of the school
19 district. The school activity fund custodian and the petty cash
20 custodian shall give a surety bond in an amount determined by the
21 board of education, but not less than One Thousand Dollars
22 (\$1,000.00). The premium of the surety bond shall be paid from the
23 school activity fund or the general fund.

24

1 F. The local board of education is hereby authorized to invest
2 activity funds as it determines appropriate. Upon direction of the
3 local board of education, the custodian of the activity fund shall
4 invest activity funds in any or all of the investments permitted and
5 listed in Section 5-115 of this title.

6 G. The board of education of a school district may establish,
7 by board resolution, a general fund refund subaccount within the
8 school activity fund. The balance in the subaccount shall be
9 determined by need, and it shall be funded by refunds and
10 reimbursements received, including but not limited to, rental
11 income, reimbursements for lost and damaged textbooks, summer school
12 and adult tuition, overpayments and tax refunds, as well as
13 transfers, by treasurer's check, from the school district general
14 fund. The subaccount may be expended only for the refund of
15 revenues previously received and deposited either into the
16 subaccount or directly into the general fund. Any remaining balance
17 in the refund subaccount shall be transferred to the school district
18 general fund on or before June 30 of each year.

19 H. The board of education of a school district may authorize
20 the custodian of the school activity funds to provide cash advances
21 to the sponsors for travel expenses on behalf of school district
22 students and sponsors of certain school activities. The cash
23 advances may only come from the school activity fund subaccount
24 directly involved in the travel of such students or sponsor and only

1 if the travel is one of the stated functions or purposes for the
2 establishment of the subaccount. Receipts for all expenditures of
3 the cash advances shall be kept and turned in to the custodian of
4 the school activity fund following said trip.

5 I. Any invoice submitted to a school district which is to be
6 paid from a school activity fund and is for payment of an authorized
7 expenditure in an amount equal to or greater than the threshold
8 amount stated in Section 310.9 of Title 62 of the Oklahoma Statutes
9 shall conform to the requirements set forth in that section.

10 SECTION 2. This act shall become effective November 1, 2026.

11

12 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
13 03/05/2026 - DO PASS, As Amended and Coauthored.

14

15

16

17

18

19

20

21

22

23

24

25